

PITCH — DK — VERDICT

PROPOSED — PENDING ADJUDICATION — No purchase at today's \$72.02; we want Delek US only if it trades back to \$52–56, where a 0.5% starter is authorized on a fill.

What we believe

Delek US owns four refineries (315,000 barrels/day at Tyler and Big Spring in Texas, El Dorado in Arkansas, Krotz Springs in Louisiana) plus a controlling 63% of a separately traded pipeline company, Delek Logistics (DKL). The refining business just had the best quarter in its history because refining margins — the spread between what a refiner pays for crude and gets for gasoline and diesel — exploded during the war.

Three things we believe, in order of confidence:

1. **The capture was real.** Delek genuinely earned roughly \$19.40 per barrel in the second quarter. Our first bench argued the true figure was \$12.60; that was wrong, and the correction is explained below. Satellite thermal readings on Big Spring and El Dorado show both plants running normally, and management says no further maintenance shutdowns this year — so the third-quarter earnings on November 6 should also show real capture. This is a genuinely gradeable event.
2. **The headline number is nonetheless not the number to underwrite.** Delek reported \$638.7M of “adjusted” quarterly earnings and \$5.48 per share. The company itself publishes the alternative: **\$490.1M and \$3.64** once you strip a single fuel-regulation line item. Underwrite \$3.64.
3. **What's left over is not cheap enough to chase.** Strip out the market value of the pipeline stake and the refining business is being valued at about **\$2.65 billion**, or roughly **7.5x what it earns in an average year** — not the bargain the original idea claimed. At the bottom of the cycle (last year), that same business *lost* money.

We do not have a thesis that the stock is expensive. We have a thesis that it is fairly priced at a cycle peak, which is a reason not to own it here and a reason to want it 25% lower.

What the market believes

The market believes the war-driven margin environment persists long enough to matter. The stock is up 182% from its low of \$25.53 and sits 6.9% below its 52-week high. The August earnings headline — “+148% versus expectations” — is what re-rated it.

The important fact is that **the professional analysts who follow the company do not believe this at current prices**. The average 12-month price target across 12 analysts is **\$64.33** — below today's \$72.02. Eleven of the twelve targets are at or below the current price. UBS carries a \$52 target with a Neutral rating; Mizuho \$66; only Goldman, at \$83, is above spot (targets, UBS note).

So the marginal buyer today is paying more than the covered sell side will underwrite. That can be right — the street is often late on cyclicals — but it requires us to name a mechanism for why we know better. We do not have one.

Separately: fifteen Form 144 filings (insider sale notices) were filed between August 13 and September 1. That is routine pre-scheduled selling, not a signal on its own, but it is insiders selling into this strength rather than buying it.

Why we might have edge

- **We did the earnings bridge line by line.** Delek's reconciliation from reported earnings (\$433.9M) to "adjusted" earnings (\$638.7M) contains \$359.1M of fuel-credit accounting — a \$148.6M line tied to a small-refinery exemption and a \$210.5M mark on its renewable fuel credit obligation. Most readers see "\$5.48 versus \$2.21." Few carry the \$359.1M forward as an annual claim on the business. (8-K/A reconciliation)
- **We valued the pipeline stake off a live mark.** DKL's market value is \$3.13B; Delek's 63% is worth about **\$1.97B**, roughly 45% of Delek's entire \$4.41B equity value. That's what makes the refining business look small — and it's also why the refining business is not as cheap as the headline free-cash-flow yield suggests.
- **We know the plants are running.** Thermal satellite readings (excess heat of 1.7°C at Big Spring, 1.8°C at El Dorado) confirm normal operation and no staggered maintenance signature, consistent with management's statement of no further 2026 turnarounds. Whatever goes wrong in the fourth quarter, it is probably not an operational shutdown we could have seen and didn't.
- **We sized the regulatory drag forward.** Management sized the full-year 2025 renewable-fuel obligation at \$468.4M at roughly \$1 per gallon credit prices. That is a multi-hundred-million annual cost against a \$2.65B business, and neither the original idea nor most write-ups carry it into the valuation.

Honest caveat: three of these four are *quality* work, not *edge*. They tell us the stock is fairly priced. They do not tell us it is mispriced in our favor.

Why it might be priced in

- **The valuation already assumes heavy normalization.** At \$2.65B, the refining business is priced at roughly the *midpoint* between this year's boom and last year's bust — not at boom persistence. Our own first bench's lead attack was that the stock was "priced for persistence," and its own arithmetic refuted that. We should say so plainly: the market is not making the naive mistake we assumed it was making.

- **The margin move is fully public.** The Gulf Coast 3-2-1 crack spread was around \$69/barrel on August 19, versus \$62 in mid-July and \$51 in May. This is a quoted, published series. There is no informational asymmetry in it.
- **The analyst community has already marked to it and stopped.** Eleven of twelve targets at or below spot means the sell side has processed the same quarter and concluded the price is full.
- **Insiders are selling, not buying.**

What could go wrong

Failure narrative 1 — the cracks were a war artifact, and peace arrives before the cycle does. The entire earnings power rests on refining margins that are elevated because of an active conflict. If the conflict resolves, margins compress toward the ~\$14 of 2025, and the business goes from earning ~\$875M a year to *losing* about \$167M a year in free cash (that trough figure is real; it is last year's actual). The stock has no floor at \$72 in that scenario — it had one at \$25.53 fifteen months ago. *Tripwire: monitorable* — the crack spread is a published daily series and we can watch it weekly.

Failure narrative 2 — the fuel-credit obligation becomes cash. Delek added back \$210.5M of “unrealized” increase in its renewable-fuel-credit liability. That liability settles in cash unless credit prices retrace. If the EPA denies small-refinery exemptions for the 2026–27 compliance years while credit prices stay near \$1/gallon, we are looking at something on the order of \$400–500M of annual real cost against a \$2.65B business. *Tripwire: partially monitorable* — we can watch the EPA exemption docket and credit prices, but the timing of exemption decisions is discretionary and has historically arrived without warning.

Failure narrative 3 — management spends the peak. NO MONITORABLE TRIPWIRE. In the best quarter in company history, generating \$263M of operating cash, Delek returned \$20.0M via buyback and \$15.6M via dividend — 1.8% annualized against a \$4.41B company. Management said on the call that “all options are on the table... bolt-on acquisition,” and that “we don't have any plan to have excess cash on our balance sheet.” Delek's history (Alon, Krotz Springs) is buying assets at the top of the cycle. **There is no sensor that can see this coming.** An acquisition arrives as a press release at 7am, already signed. Our satellites see plants, our filing watchers see forms after the fact, our price gates fire after the move. *Unknown-unknown class: discretionary capital allocation by an agent with different incentives than ours — the category of risk where the adverse event is a human decision made privately and announced complete.* A secondary unmonitorable in the same family: a fire, explosion, or fatality at one of four physical plants. Our thermal detector reads running-versus-dark on a slow cadence, and this session our methane-plume and oil-storage detectors returned nothing usable at all because we failed to pass them the plant coordinates. A serious upset would hit the tape before it hit our sensors.

The reflexive and structural leg.

- *Our size is not the problem.* A 0.5% starter in a \$4.41B company with normal listed liquidity is a rounding error against daily volume — far under our 1%-of-average-volume ceiling. We will not move this price and we will not be trapped in it.

- *Our own machinery is the problem.* The only realistic way we get filled at \$52–56 is a bad November 6 earnings print or a fast crack-spread break. But our standing rule automatically cancels resting buy orders within about three days of a scheduled print. **The exact event most likely to deliver our fill is the event our own guard disarms us for.** If we want this position, we must decide in advance and in writing whether the November print is an exception, or accept that our bid is not live in the window where it would fill.
- *We are about to make the same bet twice.* PBF is queued in the same review cycle on the same crack-spread premise. Two refiners at 0.5% each is not two positions; it is one 1% bet on refining margins wearing two names. Any DK fill must be sized against whatever PBF ends up at, not independently.
- *The band itself is a low-probability object.* \$52–56 is 22–28% below spot. It is entirely possible we do all this work, arm every sensor, and never own a share. That is an acceptable outcome, but it should be stated before the fact, not discovered as disappointment later.

If this position loses money, the most likely reason will be that we bought a cyclical whose earnings power was manufactured by a war, and peace — or simply demand normalization — arrived faster than the cycle math we underwrote.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“\$5.48 adjusted EPS is a +148% beat vs \$2.21 expected”	Pulled the actual pre-print estimates (UBS/Street)	Consensus was ~\$2.80–2.90 EPS / ~\$421M EBITDA. Against the company’s own ex-regulation \$3.64, the beat was ~26%, not 148%	Our first bench was wrong — beat magnitude overstated
“The \$148.6M exemption line is a cash refund inflating earnings”	Walked the full reconciliation: \$433.9M + 4.5 – 157.3 – 23.1 + 210.5 + 148.6 + 10.9 + 0.1 + 10.6 = \$638.7M, ties to the penny	A <i>positive</i> add-back means the item sat inside reported earnings as a cost that was excluded — not a benefit banked. Our first bench had the sign backwards	Overtuned. The surviving concern is the mirror image: a recurring several-hundred-million compliance cost. Both readings agree on the number to underwrite: \$490.1M / \$3.64
“Clean quarterly EBITDA is \$279.6M; refining earned \$12.60/barrel”	Re-derived from the same reconciliation on a consistent basis	Our bench disallowed \$212.5M of add-backs that flatter the company while silently accepting \$202.2M of the company’s own <i>subtractions</i> , including a \$157.3M inventory gain removal it never mentioned. Consistent answers: \$19.72/bbl (company basis), \$19.36 (reported basis), \$13.10 (scrubbed both directions)	Our first bench was wrong. Right destination (~\$13 fully scrubbed), invented path, largest line missed

Claim	How checked	Found	Confirmed?
“Mid-cycle carry is – \$167M/year”	Rebuilt from Q2-2025 actuals: \$177.9M adjusted EBITDA, –\$106.4M net loss, \$114.8M refining	Arithmetic replicates exactly — but 2025 was a trough , not mid-cycle. Mid-cycle cracks are ~\$20–25, not 2025’s ~\$14	Partially wrong — the number is right, the label was not. Trough carry is genuinely negative
“Management bought ~10% of the company since early 2025”	Compared against share counts in the filings	Shares outstanding 61.20M (78,774,745 issued less 17,575,527 treasury); the diluted series moved ~–1.4% from Q1-25. The quote could not be reconciled	Not confirmed — left open as a gap, not scored as a kill
“The pipeline stake is worth ~\$1.9B”	DKL market capitalization at 2026-08-31	$\$3.13\text{B} \times 63\% = \mathbf{\$1.97\text{B}}$. Estimate was right	Confirmed and upgraded from estimate to verified
“The stock is priced for margins persisting forever”	Built the stub valuation both benches’ ways	\$2.65B for the refining business $\approx 7.5\times$ mid-cycle earnings — the market is already discounting roughly two-thirds normalization	Our own opening premise was refuted by our own bench. Stated rather than buried
Does the published \$61 crack spread translate to Delek’s actual plants?	Attempted a futures-curve pull; our broker data connection was unavailable to both benches this session	Gulf/NYMEX 3-2-1 was ~\$69 on 8/19, above the \$61 assumed. But no Gulf Coast or Group-3 physical differential series was obtainable	Gap still open. Mitigated by the fact that Delek discloses realized margin directly — so this matters for forecasting Q3/Q4, not for whether Q2 capture happened
Are the plants actually running?	Thermal satellite readings, both major sites	Big Spring +1.7°C, El Dorado +1.8°C above background; no maintenance signature	Confirmed. Fourth-quarter risk is not operational
Methane-plume and tank-farm detectors	Ran both	Returned zero observations — we never forwarded the plant coordinates (Big Spring is 32.2504 / –101.47874) or a tank-farm bounding box	Our own tooling failure. The tank-farm read is the direct test of whether the paper margin was physically realized in Delek’s region. Fix before re-court
Is the November 6 print date real?	Checked for a company press release naming it	Derived from a data vendor; no Delek announcement confirms it	Not confirmed

The pattern worth naming: our skeptical bench attacked the accounting hard and got the sign wrong on its lead item, while the check that actually decided the question — what the sell side will underwrite — was pulled by neither bench until the second pass. We were arguing about the company’s reconciliation when the answer was in a price-target list.

PROPOSED ENTRY BANDS

No entry at \$72.02. This is a no-purchase recommendation with reopen levels, not a buy.

The named reason for standing flat is *not* the accounting: it is that the stock trades above the average published price target with eleven of twelve targets at or below spot, and we have no named mechanism for why the gap should close in our favor.

Reopen levels (these are where a purchase becomes authorized, not where one is placed today):

Level	Action	Size	Basis
\$56.00	First purchase, limit, day-order discipline (not a resting long-dated bid — see below)	0.5% of book	At \$56 the refining business is valued at ~\$1.66B, about 4.7x mid-cycle earnings versus 7.5x today. Also the upper edge of the zone where the trough-conditions valuation and UBS's standing \$52 target converge
\$52.00	Second tranche — requires a fresh review, not authorized here	up to 0.5%	\$52 values the refining business at ~\$1.41B, about 4.0x mid-cycle — roughly what it would be worth if 2025 trough conditions were permanent. This is the “paying nothing for the cycle” level
Above \$56	No purchase under any circumstance. No chase	—	—

Conditions attached to any fill: - Unlevered. Common stock only. **No options structure** — implied volatility is elevated at a 52-week high and we would be selling cheap optionality on a name whose whole thesis is a fat-tailed commodity spread. - **Combined refining exposure capped at 1.0% of book across DK and PBF together.** (This is my addition, not something either bench ruled on — it needs sign-off. The two names are one bet.) - **The resting-order question must be answered before the band is armed.** Our standing guard cancels resting buy orders within ~3 days of a scheduled print. Either the November 6 print is declared an explicit exception for this name, or we accept the bid is dark in the highest-probability fill window. Do not leave this to the machine to decide. - No stop-loss below the entry. If we buy at \$52–56 on a crack-spread break, further downside is the thesis working slowly, not the thesis breaking.

Exits / trims: not applicable — we hold no position and have no orders.

Catalyst dates: - **2026-11-06 — third-quarter earnings. UNCONFIRMED** (vendor-derived; no company announcement names it). ~45 trading days out. This is the real gradeable event: with both plants confirmed running and no maintenance scheduled, third-quarter capture is

mechanically intact, so the print tests whether the margin environment held rather than whether the plants did. - **No other dated catalyst exists.** EPA exemption decisions, the annual renewable-obligation disclosure, and any acquisition are all undated and discretionary.

What would make us buy at a higher price (any of these, and we re-run the case): a third-quarter release showing refining earnings above ~\$450M *excluding* both the regulatory items and the inventory windfall; a Gulf Coast or Group-3 physical differential series showing Delek's regions tracking rather than lagging the published spread; EPA confirmation of exemptions for the 2026–27 compliance years, which would turn a one-off into a structure; a buyback actually executed above ~\$150M in a quarter; or analyst targets re-rating above spot with a stated mechanism.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 52.0 (deck-provisional: Trough-conditions stub ~\$1.41B ~ = 4.0x mid-cycle; coincides with UBS standing \$52 target; second tranche)
- filing watch: 8-K, EX-99.1 until 2027-03-01 (deck-provisional: Q3 release + reconciliation: test refining segment EBITDA ex-regulatory-items and ex-inventory-windfall)
- dated pack DK12026-11-06: DK: Q3 2026 earnings – both refineries confirmed running, no scheduled turnarounds, so this print grades margin capture not operations (dat

What remains unverified

- **The physical margin Delek actually realizes.** We have the published Gulf Coast and New York benchmark spreads. We do not have Gulf Coast or Group-3 *physical* differentials for Delek's specific regions. This gap was open at the start of the review and is open now. Neither bench could close it; our broker data connection was unavailable to both.
- **The November 6 earnings date.** Vendor-derived, not company-confirmed.
- **What the \$148.6M exemption line actually is in cash terms.** The reconciliation arithmetic is unambiguous that it was excluded as a cost. The CFO's own description — “it's the cash that we have already invested and is being returned to us” — reads like a refund. Both readings produce the same number to underwrite (\$490.1M / \$3.64), so the disagreement does not change the recommendation, but we have not resolved it and should not pretend we have.
- **Delek's forward renewable-obligation cost.** We have management's 2025 sizing (\$468.4M at ~\$1/gallon credit prices). We do not have a 2026 figure.
- **The “bought ~10% of the company” claim.** Could not be reconciled to the share-count series.
- **The pipeline stake valuation is a third-party market-cap read** (as of 2026-08-31), not a live broker mark, and it carries unpriced caveats: it is a control block in a partnership, at low tax basis, and Delek's ownership percentage has been *falling*, not rising. A sale would be taxable and would likely price below the screen value. Our \$1.97B is probably generous.
- **Whether trough carry is survivable.** We know 2025 lost money. We have not stress-tested how many consecutive trough quarters the balance sheet absorbs before the equity story

changes.

```
{"price_gates": [{"level": 56.0, "direction": "below", "basis": "First authorized purchase level; refining stub ~$1.66B ~ 4.7x mid-cycle vs 7.5x at spot"}, {"level": 52.0, "direction": "below", "basis": "Trough-conditions stub ~$1.41B ~ 4.0x mid-cycle; coincides with UBS standing $52 target; second tranche requires fresh review"}, {"level": 77.31, "direction": "above", "basis": "52-week high break -- no action, but re-court the no-chase ruling if the tape leaves the street's targets further behind"}], "event_gates": [{"forms": ["8-K", "EX-99.1"], "why": "Q3 release + reconciliation: test refining segment EBITDA ex-regulatory-items and ex-inventory-windfall above ~$450M"}, {"forms": ["8-K"], "why": "Acquisition or material definitive agreement -- the peak-cycle M&A failure narrative has no forward tripwire; this is post-hoc defense only"}, {"forms": ["10-Q", "10-K"], "why": "2026 renewable-fuel obligation cost disclosure; sizes the ~$350M/quarter regulatory claim on the stub"}, {"forms": ["4", "144"], "why": "Continued insider selling into strength; 15 Form 144s filed 2026-08-13 to 2026-09-01"}], "catalyst_dates": [{"date": "2026-11-06", "what": "Q3 2026 earnings -- both refineries confirmed running, no scheduled turnarounds, so this print grades margin capture not operations", "confirmed": false}], "immediate_entry": null}
```

Primary sources: [DK Q2-26 8-K EX-99.1](#) · [DK 8-K/A EX-99.1 reconciliation](#) · [DK 10-Q, period ended 2026-06-30](#) · [Q2-26 earnings call transcript](#) · [Analyst target distribution](#) · [DKL market capitalization](#) · [RBN Gulf Coast 3-2-1 series](#)

Two things I did not do, so you know the edges of this: I could not reach live broker data this session (the same block both benches hit), so the tape figures come from the evidence pack and the pipeline-stake mark comes from a third-party screen dated 2026-08-31, not a live quote. And nothing here is armed — the sensor list above is a proposal, not a state of the world.

ADJUDICATION STAMP

BAND COURT \$52–56 — 2026-09-04 (FABLE). Capture real (~\$19.4/bbl, plant_thermal confirms both refineries), but tape sits above the street's own anchor (11 of 12 PTs at/below spot) at ~7.5x mid-cycle. 0.5% starter on fill only; event sleeve; pack 11/06 grades the ex-windfall bridge (≥\$450M). Full batch ruling: [desk/data/court_artifacts/CONVEYOR_CLEAR_202609041000.md](#)